

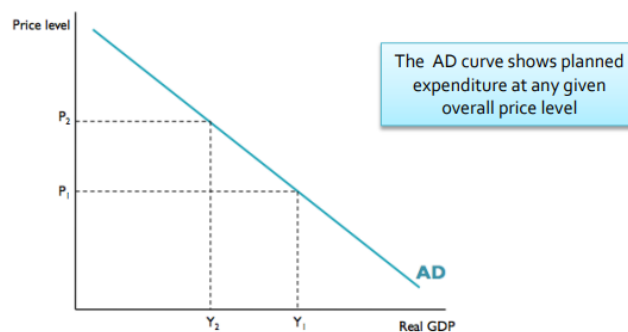
aggregate demand is the total amount of demand in an economy for its resources.

1. What are the components of Aggregate Demand?

1. consumption (C)
2. investment (I)
3. government spending (G)
4. net exports (X-M)

So $AD = C + I + G + (X - M)$.

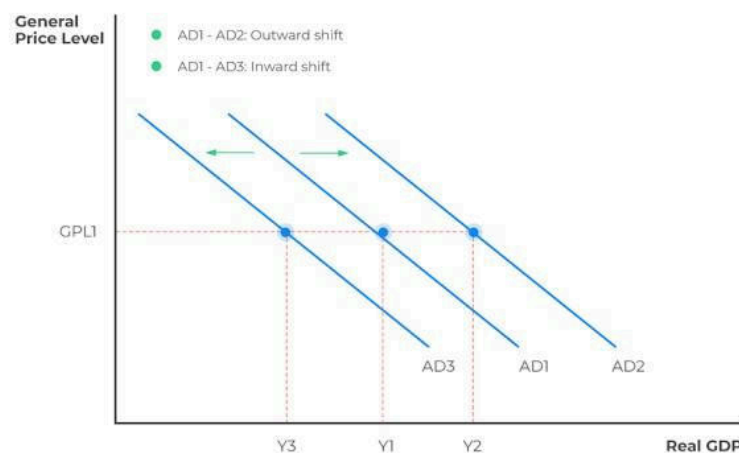
2. Aggregate Demand Curves



The Real GDP (of a country) increasing leads to the Price Level decreasing.



Shifts in the Aggregate Demand Curve



Anything which is a change in the price level is shown as a movement along the AD curve.

2.1. So why does it slope down from left to right?

1. When overall level of prices is relatively low, purchasing power of income is relatively high. So a low overall price means relatively high consumption.
2. When prices are low, **interest rates** also tend to be relatively low. This may encourage both investment and consumption (cost of borrowing affected)
3. When UK prices are relatively low compared to world prices, this increases the competitiveness of UK goods. Therefore, **exports $\uparrow$ and imports $\downarrow$**

3. Factors Affecting Aggregate Demand

3.1. What can cause a rightward shift in AD?

- A reduction in income tax, so disposable income rises, and therefore consumption rises.
- A reduction in interest rates, so loans 'cost' relatively less, savings make less money, and more money is spent.
- An increase in government spending
- An improved competitiveness performance

NB: when interest rates decrease, loans cost less and savings make less money.

3.2. What can cause a leftward shift in AD?

- An increase in income tax, so disposable income falls, and therefore consumption falls.
- An increase in interest rates, so loans 'cost' more, savings make more money, and less money is spent.
- A decrease in government spending.
- A decreased competitiveness performance.

4. Consumption and Saving

NB: expectations of future income affect current spending.

4.1. Consumption Expenditure

These are some factors that can affect consumption.

- Tax rates
- Incomes (short term + **expected** income over lifetime)
- Wage increases
- Credit
- Interest rates
- Wealth (property, shares, savings, bonds)

4.2. Savings Ratio

Saving represents a decision to postpone consumption by saving money out of disposable income.

4.3. Why do people choose to save their incomes?

- Precautionary saving
- Building up potential spending power
- Interest rates and saving
- Inheritance
- Saving and the life-cycle of consumers

4.4. APC and MPC

$$\text{Income} = APC + APS$$

$$\text{New Income} = MPC + MPS$$

$$\text{Consumption} = \begin{cases} \text{Savings} \\ \text{Taxation} \\ \text{Imports} \end{cases}$$

4.5. The consumption of households

Young people have high amount of income, and borrow lots, with the intent of paying it back later. In **middle-aged people**, the income increases and household costs fall as a % of Y

Older people supplement pension income by running down their savings.

5. Theories of Consumption

5.1. Keynes

- Keynes was the first economist to link current consumption with current disposable income.
- He feared economic stagnation as households became wealthier and their MPC fell.
- His analysis was that poor households have a higher MPC than rich households. This justified redistribution of income from rich to poor households to boost consumption and stimulate growth.
- **Short run MPC is viewed as stable.**

5.2. Life Cycle Hypothesis: Franco Modigliani and Albert Ando

Current consumption is not based upon current income alone. Rather, households form a view about their likely/projected income **over their whole lifetime** and base current spending decisions on that, with the aim of maintaining relatively consistent material living standards.

5.3. Permanent Income Hypothesis: Milton Friedman

Milton Friedman defined *permanent income* as the income a household could spend without changing its wealth over time. Households seek to gain this permanent income - they try to avoid diminishing their wealth over time.

Therefore, redistribution of income is not justified, because **a household's short run MPC is not stable.**

6. Investment

Investment is the addition to the **capital stock** of the economy.

It is the purchase of capital goods which are then used to create other goods and services. This differs from **saving**, which is the creation of financial obligations.

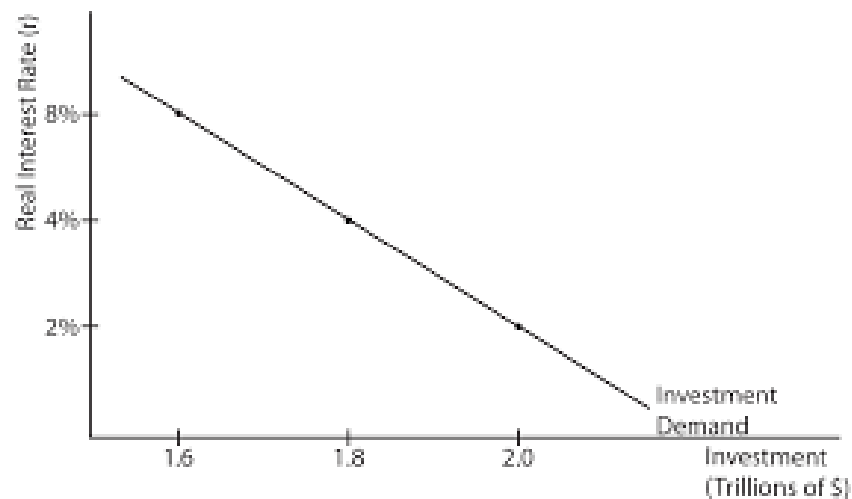
As time goes on, the value of the capital stock depreciates over time. This is called **depreciation**.

Gross Investment - measures investment before depreciation *Net Investment* - gross investment minus the value of depreciation

Investment can be made in:

- physical capital
- human capital

6.1. Investment Curves



7. Government Spending

Here are some

- Healthcare
- Education
- Housing
- Infrastructure
- Defence
- Interest on debt/borrowing
- Transport
- Subsidies/supply-side policy
- Police/justice system

In the UK Budget (Fiscal Policy):

$$\text{Government Spending} \rightleftharpoons \text{Tax and Other Revenue}$$

Distinguish between:

- Current Government Spending: School heating bills, nurses' salaries
- Government Investment: **new** hospitals, **new** roads, **new** houses.

Government investment is the decision made to increase spending temporarily for a long-term benefit.

8. Net trade

Net trade is the value of exports - the value of imports. Measured as a part of the Current Account of the Balance of Payments

There are two sides to the Balance of Payments:

<u>Balance of Payments</u>	
<u>Current Account</u>	<u>Capital + Financial Account</u>
• Trade in goods • Trade in services • Net flow of investment income • Transfers (people/govt.)	• Net Capital Transactions • Net Financial Transactions.

The current account and the capital + financial account must balance (i.e. = 0).

In a deficit, $X - M < 0$. In a surplus, $X - M > 0$.

If a current account's B.P. (balance of payments) deficit grows, this leads to a *reduction* in AD .